

5 Business Insights

1. Customer activity is critically low despite a healthy retention rate

The business has **2,973 total customers**, but only **643 active customers**, meaning only about **22% of customers are currently active**. While the average retention rate is 68.79%, a large portion of customers are not engaging with the business regularly. This indicates a significant opportunity to reactivate dormant customers and increase revenue without acquiring new customers.

2. A small group of customers contributes disproportionately to revenue

The Top Spending Customers chart shows a handful of customers generating exceptionally high spending compared to the rest of the customer base. This suggests the business relies heavily on high-value customers, making customer loyalty and VIP retention extremely important for revenue stability.

3. Older customers represent the largest customer segment

Customers aged **56+** form the largest age group, significantly larger than the 18–25 segment. This indicates that the company's products or services currently resonate more with mature customers, while younger customers remain an underpenetrated market.

4. Customer distribution is relatively balanced across cities

Customer counts are spread fairly evenly across major cities such as Mumbai, Ahmedabad, Indore, Surat, Kolkata, and Bengaluru. This suggests the business is not dependent on a single geographic market and has a diversified customer base, reducing regional business risk.

5. Purchase activity declines significantly during the second half of the year

Monthly purchases peak around the first half of the year and decline sharply from August through November before recovering in December. This seasonal slowdown may negatively impact revenue and cash flow during certain periods of the year.

3 Business Recommendations

1. Launch a customer reactivation program immediately

Since more than three-fourths of customers are inactive, the company should run targeted campaigns such as loyalty rewards, personalized discounts, referral offers, and email reminders to bring inactive customers back. Increasing customer activity by even 10–15% could generate substantial revenue without acquisition costs.

2. Create a VIP retention strategy for high-spending customers

The top-spending customers contribute significant value to the business. The company should introduce exclusive benefits such as premium support, early access to products, personalized offers, and loyalty tiers to reduce the risk of losing these valuable customers to competitors.

3. Introduce targeted promotions during low-purchase months

Since purchase volume drops significantly between August and November, the business should plan seasonal campaigns, limited-time offers, bundled products, and festival-based promotions during these months to stabilize sales and improve yearly revenue consistency.